

Table 24.8 Performance and Failures Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	24%	−20%
2000s	37%	−15%
2010s	26%	−14%
Performance (above), Failures (below)		
1990s	20%	7%
2000s	12%	18%
2010s	28%	24%

Table 24.9 Busted Patterns

Description	Up Breakout	Down Breakout
Busted patterns count	114 or 34%	130 or 33%
Single bust count	54 or 47%	77 or 59%
Double bust count	48 or 42%	8 or 6%
Triple+ bust count	12 or 11%	45 or 35%
Performance for all busted patterns	−13%	36%
Single busted performance	−22%	58%
Non-busted performance	−17%	29%

Trading Tactics

Table 24.10 shows trading tactics.

Measure rule, targets. Use the measure rule to predict a price target. Consider [Figure 24.7](#), a chart of a diamond top. Compute the formation height by taking the difference between the high in the pattern (point A at 43.85 in this example) and the low (B at 38.08). Add the difference (5.77) to the breakout price (C at 41.85, the point at which price pierces the diamond boundary) to get the target (47.62). In this example, price didn't reach the target.